



CAPITAL PARTNER — DEFAULT NOTIFICATION

LAZY DOG CAPITAL LLC

3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989

{{LETTER_DATE}}

{{CP_PAYEE_NAME}}

{{CP_ADDRESS}}

Re: {{DEAL_REF}} — borrower default

Hi {{CP_FIRST_NAME}},

Wanted you to hear this from me directly rather than notice something odd on a statement.

The borrower on {{PROPERTY_ADDRESS}} is in default. Here's where things stand and what it means for you.

WHAT HAPPENED

{{DEFAULT_DESCRIPTION}}

We sent a Notice of Default on {{DEFAULT_NOTICE_DATE}}. The cure period {{CURE_STATUS}}.

WHAT IT MEANS FOR YOU

Your monthly payments continue. Under Section 4.3 of your Capital Partner Agreement, we advance your monthly return out of our own funds whether or not the borrower pays. That hasn't changed and won't while we're working this out.

Your position is unchanged. Your Collateral Assignment is recorded and you remain first in line — ahead of us — on any recovery, whether from a payoff, a sale, or a foreclosure.

One thing that could change. If this goes to foreclosure and the property hasn't sold by the anticipated maturity date, Section 5.2 kicks in: repayment extends until the property sells, and your monthly payments stop and accrue instead — paid to you in full out of the sale proceeds along with your principal. You don't lose the return, it just arrives later.

WHERE THINGS STAND

Your capital	\${{CP_AMOUNT}}
Your rate	{{CP_RATE}}%
Return paid to date	\${{RETURNS_PAID}}
Property	{{PROPERTY_ADDRESS}}
Rehab status	{{REHAB_STATUS}}
Current outstanding loan balance	\${{CURRENT_BALANCE}}

{{SITUATION_NOTES}}

WHAT WE'RE DOING

{{ACTION_PLAN}}

I'll update you as things move. If anything material changes, you'll hear from me the same week — not on a monthly statement.

Call me any time you want to talk it through.

{{SENDER_NAME}}

Lazy Dog Capital LLC

214-740-4989

TOKENS

{{LETTER_DATE}} · {{CP_PAYEE_NAME}} · {{CP_FIRST_NAME}} · {{CP_ADDRESS}} ·
{{DEAL_REF}} · {{PROPERTY_ADDRESS}} · {{DEFAULT_DESCRIPTION}} ·
{{DEFAULT_NOTICE_DATE}} · {{CURE_STATUS}} · {{CP_AMOUNT}} · {{CP_RATE}} ·
{{RETURNS_PAID}} · {{REHAB_STATUS}} · {{CURRENT_BALANCE}} · {{SITUATION_NOTES}} ·
{{ACTION_PLAN}} · {{SENDER_NAME}}

NOTES

- **Send it early.** A partner who finds out late assumes you were hiding it. A partner who hears it first assumes you're on top of it.
- `{{DEFAULT\_DESCRIPTION}}` — factual, not editorial. "*The July interest payment was not received and remains unpaid.*"
- `{{ACTION\_PLAN}}` — what you're actually doing. Posting for foreclosure, negotiating a workout, giving them 30 days to sell. Be specific; vagueness reads as no plan.
- **The Section 4.3 paragraph is the reassurance.** It's also the reason the guarantee is worth what it costs you — this is the moment it buys goodwill.
- **The borrower's rate appears nowhere.**